Corporate Lending Automation System

Intelligent Credit Assessment Platform

CREDIT ASSESSMENT REPORT

Application Number	CLA-20260812-00004
Company	Pinnacle Construction Sdn Bhd
Registration No.	201205067788
Loan Amount Requested	RM 8,200,000
Loan Purpose	Trade Finance
Tenure	24 months
Pipeline Status	Report Generated
Preliminary Decision	REJECTED
Report Generated	2026-08-12 18:09 UTC

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1. Application Overview

Application No.	CLA-20260812-00004
Loan Amount	RM 8,200,000
Loan Purpose	Trade Finance
Tenure	24 months
Interest Rate Requested	—
Collateral Description	Not provided
Collateral Value	N/A
Current Status	Report Generated
Final Decision	REJECTED
Assigned Officer	Not assigned
Decision Reason	Automatically rejected by the rule engine. 1 mandatory rule(s) failed: Minimum Current Ratio. The ML prediction pipeline was not executed.

2. Company Profile

Company Name	Pinnacle Construction Sdn Bhd
Registration Number	201205067788
Tax ID	—
GST Number	—
Company Type	Private Limited
Industry	Construction
Incorporation Date	2012-05-06
Country	Malaysia
Registered Address	No 8, Jalan Bukit Kiara 3
City / State	Kuala Lumpur, Wilayah Persekutuan
Contact Email	accounts@pinnacle-con.com.my
Contact Phone	+60377291180
Annual Turnover	RM 74,300,000
Employees	410

3. Submitted Documents

#	Type	Filename	Financial Year	Size (KB)	Status

1	Balance Sheet	pinnacle_fs_2025.pdf	2025	2.8	Extracted

4. Financial Data — OCR Extraction

Financial Metric	Extracted Value	Financial Metric	Extracted Value
Cash & Cash Equivalents	RM 4,331,459	**Cost of Revenue**	RM 60,183,000
EBIT	RM 5,201,000	**Short-term Debt**	—
EBITDA	—	**Accounts Payable**	RM 9,947,849
Shareholders' Equity	RM 47,763,755	**Interest Expense**	RM 1,404,270
Revenue / Turnover	RM 74,300,000	**Operating Profit**	RM 5,201,000
Inventory	RM 5,906,535	**Total Liabilities**	RM 37,681,245
Net Worth	—	**Accounts Receivable**	RM 8,269,149
Net Profit / PAT	RM 2,885,515	**Current Liabilities**	RM 20,724,685
Tax Expense	RM 911,215	**Financing Cash Flow**	RM 1,965,978
Gross Profit	RM 14,117,000	**Investing Cash Flow**	RM 4,458,000
Total Assets	RM 85,445,000	**Operating Cash Flow**	RM 5,486,015
Current Assets	RM 19,688,451	**Depreciation & Amortisation**	RM 2,600,500
Long-term Debt	—		

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5. Financial Ratios Analysis

Overall Financial Health: CRITICAL

Ratio	Value	Unit	Risk Level	Benchmark	Interpretation
Debt Ratio	0.441	x	Low	0.3 – 0.6	Good: Debt Ratio of 0.44x. Balanced financing structure.
Quick Ratio	0.665	x	High	1 – 2	Weak: Quick Ratio of 0.67x is below the 0.8 safety threshold. The company may struggle ...
Current Ratio	0.95	x	Very High	1.5 – 3	Critical: Current Ratio of 0.95x is below 1.0. The company cannot cover short-term liab...
Ebitda Margin	10.50%	%	Medium	12 – 30	Moderate: EBITDA Margin of 10.50%. Acceptable for most industries.
Asset Turnover	0.8696	x	Low	0.5 – 1.5	Good: Asset Turnover of 0.87x. Efficient use of asset base to generate revenue.
Cash Flow Ratio	0.2647	x	High	0.5 – 1	Weak: Cash Flow Ratio of 0.26x. Operating cash flow insufficient to cover current liabi...
Working Capital	-1,036,234	■	Very High	—	Critical: Negative Working Capital of ■-1,036,234. Current liabilities exceed current a...
Operating Margin	7.00%	%	Medium	10 – 25	Moderate: Operating Margin of 7.00%. Sufficient to service debt but minimal slack.
Return On Assets	3.38%	%	Medium	5 – 15	Moderate: ROA of 3.38%. Assets generating modest returns.
Return On Equity	6.04%	%	Medium	10 – 25	Moderate: ROE of 6.04%. Marginal shareholder returns.
Debt Equity Ratio	0.7889	x	Very Low	0.5 – 2	Excellent: Debt-Equity Ratio of 0.79x reflects conservative financing with equity domin...
Net Profit Margin	3.88%	%	Medium	5 – 20	Moderate: Net Profit Margin of 3.88%. Adequate for lending consideration with close mon...
Financial Leverage	1.7889	x	Very Low	1.5 – 4	Excellent: Financial Leverage of 1.79x. Conservative use of debt financing.
Inventory Turnover	10.1892	x	Very Low	4 – 12	Excellent: Inventory Turnover of 10.19x. Very fast inventory cycling — strong sales or ...
Current Asset Ratio	0.2304	x	Medium	0.3 – 0.6	Moderate: Current Asset Ratio of 0.23x is typical for asset-heavy industries.
Gross Profit Margin	19.00%	%	High	20 – 60	Low: Gross Profit Margin of 19.00%. Cost of goods is consuming a large share of revenue.
Receivable Turnover	8.9852	x	Low	6 – 15	Good: Receivable Turnover of 8.99x. Efficient debtor collection.
Interest Coverage Ratio	3.7037	x	Low	2.5 – 5	Good: ICR of 3.70x. Earnings comfortably cover interest obligations.
Operating Cash Flow Ratio	7.38%	%	Medium	10 – 25	Moderate: Operating Cash Flow Ratio of 7.38%.
Debt Service Coverage Ratio	2.4533	x	Very Low	1.25 – 2	Excellent: DSCR of 2.45x. Strong debt servicing capacity.

6. Rule Engine Evaluation

Verdict: REJECT	Rules Evaluated: **11**	Rules Triggered: **1**	ML Pipeline: **SKIPPED**

Priority	Rule Name	Category	Metric Value	Threshold	Mandatory	Status	Action
10	**Minimum Current Ratio**	Liquidity	0.95	1	Yes	**FAIL**	Reject
20	**Quick Ratio Floor**	Liquidity	0.665	0.5	Yes	**PASS**	Reject
30	**Maximum Debt-Equity Ratio**	Leverage	0.7889	2.5	Yes	**PASS**	Reject
40	**Maximum Debt Ratio**	Leverage	0.441	0.8	No	**PASS**	Manual Review
50	**Positive Return on Assets**	Profitability	3.38	—	Yes	**PASS**	Reject
60	**Minimum Return on Equity**	Profitability	6.04	5	No	**PASS**	Manual Review
70	**Positive Net Profit Margin**	Profitability	3.88	—	Yes	**PASS**	Reject
80	**Minimum Interest Coverage Ratio**	Coverage	3.7037	1.5	Yes	**PASS**	Reject
90	**Minimum Debt Service Coverage Ratio**	Coverage	2.4533	1.2	Yes	**PASS**	Reject
100	**Positive Operating Cash Flow**	Cash_Flow	7.38	—	Yes	**PASS**	Reject
110	**Positive Net Worth**	Solvency	1.7889	10	Yes	**PASS**	Reject

Triggered Rule Details:

✕ **Minimum Current Ratio:** Current Ratio is below the minimum threshold of 1.0. The company lacks sufficient liquidity to meet short-term obligations.

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7. ML Prediction & Risk Assessment

ML PIPELINE SKIPPED
ML pipeline skipped — mandatory rule(s) failed: Minimum Current Ratio.

8. Credit Recommendation

ML pipeline skipped — mandatory rule(s) failed: Minimum Current Ratio.

9. Officer Notes

No officer notes recorded at the time of report generation.

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